

HCL Technologies Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.hcltech.com/
Sector	nan
Market Cap	412,593.29 Cr
PE Ratio	63.63
PB Ratio	5.44
Dividend Yield	1.99 %

Financial Quality

ROE	23.3
ROCE	29.6
CFO Quality	High Quality
FCF CAGR	20.00%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Balanced
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

HCL Tech is a leading global IT services company, which is ranked amongst the top five Indian IT services companies in terms of revenues. Since its inception into the global landscape after its IPO in 1999, HCL Tech has focused on transformational outsourcing, and offers an integrated portfolio of services including software-led IT solutions, remote infrastructure management, engineering and R&D; services and BPO. The company leverages its extensive global offshore infrastructure and network of offices in 46

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Return on equity improving for 3 consecutive years shows strengthening business quality.

Risks

Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
Rising debt over the past 3 years suggests increasing financial leverage risk.